

Title of the Paper: Overhauling Cross- Border Insolvency under the Insolvency & Bankruptcy Code : Final Piece in the Jigsaw?

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- Economic Impact of Insolvency – An International Perspective
 - Interface of Insolvency & Bankruptcy Code, 2016 with Existing Laws

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The Insolvency and Bankruptcy Code, 2016 [hereinafter referred to as the ‘Code’] was brought into force on 28th May 2016.¹ According to the legislation, the Code is an enactment that aims “*to consolidate and amend the laws relating to reorganisation and insolvency resolution of corporate persons.... in a time bound manner for maximisation of value of assets of such persons*”.² The term ‘Code’ may be defined as “a complete system of positive law, carefully arranged and officially promulgated”.³ The title of the enactment, in the humble opinion of the authors, is a misnomer, as the Code does not seem to provide a complete, or even a workable legal framework to deal with cross border insolvencies. In other words, the Code fails to effectively address the transnational aspect of insolvency. This happens to be a major lacunae in the Code as, over the past few decades, businesses have become increasingly multinational in the sense that has become common-place for companies to expand and have business operations in countries other than where they are headquartered.⁴ As on 31 December 2014 itself, India accommodated a total of 4, 170 multinational corporations from across the world.⁵ When such multinational businesses become insolvent, these insolvencies would inevitably have transnational consequences.⁶ In such cases, a certain form of international cooperation will be necessary to cater to the issues arising out of transnational litigation.⁷ The authors believe that the lack of provisions or a robust mechanism, which seems to be self-imposed handicap by the drafters of the Code, the ability of the Code to provide effective solutions to these issues is significantly hampered.

The paper highlights the possible ramifications on the various stake holders owing to the lack of a watertight cross border insolvency mechanism and offers potential solutions to the highlighted problems. The authors, through this paper, attempt to make a case for amendments in the provisions with regards to the scope of the legislation and the functions of

¹ Insolvency & Bankruptcy Code, 2016, Ministry of Law & Justice, 37 Gazette of India.

² Statement of Objects and Reasons, Insolvency & Bankruptcy Code, 2016.

³ *Code*, Black's Law Dictionary, (10th ed. 2014).

⁴ Developments in the Law - Extraterritoriality, Chapter 15 and Cross-Border Bankruptcy, 124 HARV. L. REV. 1226 at p.1292 (2011).

⁵ Company Statistics, Ministry of Corporate Affairs. Available at http://www.mca.gov.in/DataPortal/Ministry/DataPortal/ForeignCompanies_Source_Country.xls. Accessed on March 3, 2018.

⁶ See generally Sandeep Gopalan and Michael Guihot, Recognition and Enforcement in Cross-Border Insolvency Law: A Proposal for Judicial Gap-Filling, 48 Vand. J. Transnat'l L. 1225 (2015)

⁷ Harry Rajak, Company Rescue, and Liquidation, Third Edition, Insolvency Practitioner Series, Sweet and Maxwell, Thomson Reuters, 2013, at p. 407 at ¶ 16-09.

resolution professionals as well as for incorporating a new chapter dealing with cross border insolvency under the Code along the lines of the UNCITRAL Model Law for Cross Border Insolvency. The authors have endeavoured to make a case for adoption of Model Law in such a way that the benefits of universalism and cooperation are realised after filtering out the possible harms that may be inherited in the process.

CROSS-BORDER INSOLVENCY AND INDIA: A HISTORICAL ANALYSIS OF LEGISLATIVE RECOMMENDATIONS.

Being initiated 20 years ago as a conclusive fall- off of the New Economic Policy of 1991, the issue of India adopting effective mechanism and drivers to facilitate security of domestic players in the foreign investment scenario has still not reached a closure. Efforts towards induction of provisions regarding Insolvency in both its municipal and global facets were commenced in the year 2000 with the recommendations of the High Level Committee on Law relating to Insolvency and Winding Up headed by Justice V. Balakrishna Eradi,⁸ [hereinafter referred to as ‘Eradi Committee Report’], which, along with an emphasis on striking an equitable balance between rights of Indian and foreign creditors, particularly in the matter of proof and priorities of their respective claims,⁹ suggested amendments in the then Companies Act, 1956 for the purpose of incorporation of the following aspects with respect to cross- border insolvency:

- (a) The case of an inbound request for recognition of foreign proceedings.
- (b) An outward-bound request from a court or administrator in the enacting state.
- (c) Coordination proceedings in two or more States and
- (d) Participation of foreign creditors in insolvency proceedings taking place in enacting States.¹⁰

The emphasis on inculcation of a concrete law on the aspect was further strengthened by the Report of the Reserve Bank of India’s Advisory Group on Bankruptcy Law in 2001, headed

⁸ Recommendations of the High Level Committee on Law relating to Insolvency and Winding Up, 31st August 2000, Available at <http://reports.mca.gov.in/Reports/24-Eradi%20committee%20report%20of%20the%20high%20level%20committee%20on%20law%20relating%20to%20insolvency%20&%20winding%20up%20of%20Companies,%202000.pdf>, Accessed on March 11, 2018.

⁹ Ibid.

¹⁰ Ibid.

by Prof. NL Mitra.¹¹ The Report by far has been one of the most comprehensive and practically inclusive attempt of addressing the needs of the country and its legal framework with respect to cross border insolvency. It sensed the lack of the very concept of cross border insolvency in its entirety, with the only alternative being production of a foreign decree under Section 13 and Section 44A of the Code of Civil Procedure 1908, this alternative too being inadequate and catering merely to a decided judgement and not a proceeding, not to neglect one of the elements of corporate insolvency being resolution proceedings, and thus not the entire concept in totality. Furthermore, an enforcing court in the country is not bestowed with the power of modifying the terms of a foreign decree and the said decree shall be taken as it stands, not taking into consideration the adjustments pertaining to the execution, discharge or satisfaction of the decree.¹²

The report while rightly adjudging the Indian legal framework as primarily territorial and being devoid of any dedicated provision towards cross border insolvency, marked by an undiluted reliance on a discretionary recognition of a foreign judgement on the winding up of a company rather than an ongoing foreign proceeding, suggested the infusion of an efficacious and lucid law on cross border claims and counter claim settlement under a comprehensive Code.¹³

The Mitra Committee Report based its suggestions on an optimistic presumption of the adoption of the UNCITRAL Model Law in the near future, finding it to be a pragmatic solution towards the challenge of addressing claims outside the country and within the country but tied to an external entity, through a blend of universalist and territorialist approaches as well as quicker and approach towards the proceedings in general.¹⁴ However, unfortunately, the Report's recommendations regarding the municipal facets of Indian insolvency regime were considered only in 2015 by the Banking Law Reforms Committee in its Report,¹⁵ proving to be the very bedrock of the present Code of 2016. The report, however, skirted the international and trans- border aspects of these suggestions, attempting

¹¹ Reserve Bank of India's Report of the Advisory Group on Bankruptcy Law, 2001, *Available at* <https://www.rbi.org.in/scripts/PublicationReportDetails.aspx?ID=225#CH4>. Accessed on March 11, 2018. [hereinafter referred to as the Mitra Committee Report].

¹² *Alcon Electronics Private Limited v Roujan, France and another*, AIR 2013 BOM 108 [at ¶ 14]; *Motilal Banker v. Mahraj Kumar Mahmood Hasan Khan*, AIR 1968 SC 1087[at ¶ 4].

¹³ *Supra* 11 at Chapter V.

¹⁴ *Ibid* at Chapter IV, ¶ (d)

¹⁵ Report of the Banking Law Reforms Committee, 2015, *Available at* http://ibbi.gov.in/BLRCReportVol1_04112015.pdf. Accessed on March 12, 2018.

to solve the challenges pertaining to bankruptcy and insolvency in India in a purely domestic perspective.¹⁶

The Joint Committee on the Insolvency & Bankruptcy Code, 2015 attempted to reconcile the draft bill with international requirements by taking into account a host of perspectives. Shri T.K. Vishwanathan, the head of the Banking Law Reforms Committee opined that the views on India becoming a party to cross border insolvency have not been formalised yet owing to the Committee's preference towards the domestic model being set into motion first.¹⁷ The Department of Economic Affairs though citing procedural irregularities internationally as a reason of the delay in tackling cross border insolvency at that stage, acceded the rising degree and frequency of transnationalism in corporate transactions makes the Code fragmentary and impedimental in nature in the absence of provisions catering to such transnationalism.¹⁸ The deliberations led to the agreement of all parties on adding two additional Sections 234 and 235 at this stage to serve as a makeshift enabling mechanism, resolved to be worked upon in the later stages as the Code unfolds conceptually and practicably. An interesting observation deserving due attention here is that the Indian cross border insolvency provisions under Section 234 and Section 235 of the Code were enacted on April 1, 2017,¹⁹ and provisions relating to cross border merger were notified soon after on April 13, 2017, wherein outbound mergers were enabled under Section 234 of the Companies Act, 2013 via changes in the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016,²⁰ followed by issue of draft guidelines by the Reserve Bank of India by the proposed name of Foreign Exchange Management (Cross Border Merger) Regulations.²¹ These measures, taken towards a more cooperative mechanism posed an urgent demand for substantial changes in the current insolvency mechanism, but completing roughly around a year now, has failed to attract effective action on the same.

¹⁶ Ibid at ¶ 2, Page 16.

¹⁷ See para 1, page 44, *Available at* http://ibbi.gov.in/16_Joint_Committee_on_Insolvency_and_Bankruptcy_Code_2015_1.pdf, Accessed on March 13, 2018.

¹⁸ Ibid at ¶ 3.

¹⁹ *Available at* <http://www.mca.gov.in/Ministry/pdf/Notification30032017.pdf>, Accessed on March 12, 2018.

²⁰ *Available at* http://www.mca.gov.in/Ministry/pdf/CompaniesCompromises_14042017.pdf, Accessed on March 11, 2018.

²¹ *Available at* <https://rbidocs.rbi.org.in/rdocs/PressRelease/PDFs/PR29099DBE46220C8E4213A90C2EE01FF8B8BE.PDF>, Accessed on March 12, 2018.

As previously discussed, it is axiomatic to say that the “spillover effects” of an insolvent company cannot possibly be restricted to and dealt with within geographical frontiers of one country.²² A foreign company declared insolvent outside India would impact creditors in India. But in such cases, neither should the local creditors be rendered remediless under the Code nor should the insolvency trigger a race between the creditors situated in different jurisdictions to seize the assets of the company.

The Insolvency & Bankruptcy Code seems to have a starkly territorialist approach. The working with the Code aligns more with the territorialism where “the courts in each national jurisdiction seize the property physically within their control and distribute it according to local rules.”²³ For example, section 2 of the Code seems to limit the applicability of the Code to only companies incorporated under the Indian Companies Act. Another instance where such an approach can be inferred is from the fact that foreign companies are excluded from being corporate debtors under the Code.²⁴ This is in contrast to the principle of modified universalism [which forms the basis of the UNCITRAL model law on Cross border Insolvency] that advocates cooperation between the courts in the debtor’s home country and other countries where the assets of the debtors are located.²⁵ This is done by way of secondary or ancillary proceedings to support the main proceeding in the home country of the debtor.²⁶

The authors point out that there is global consensus on the view that territorialism does not address the special problems of international insolvencies.²⁷ A territorialist approach could prove counterproductive for reorganisation or efficient liquidations of an entire international company if each jurisdiction involved handles a fraction of the case.²⁸ Fragmented

²² Maria-Thomais Epeoglou, *The Recast European Insolvency Regulation: A Missed Opportunity for Restructuring Business in Europe*, 6 UCLJLJ 31 at p. 52(2017).

²³ Andrew T. Guzman, *International Bankruptcy: In Defense of Universalism*, 98 MICH. L. REV. 2177 at p. 2179 (2000) (quoting Jay Lawrence Westbrook, *Choice of Avoidance Law*, in *Global Insolvencies*, 17 Brook. J. Int’l L. 499 at p. 513 (1991).

²⁴ Insolvency and Bankruptcy Code, 2016, § 3(8) read with § 3(7)

²⁵ Edward S. Adams; Jason K. Finche, *Coordinating Cross-Border Bankruptcy: How Territorialism Saves Universalism*, 15 Colum. J. Eur. L. 43 at pp. 47-50 (2008).

²⁶ Ibid.

²⁷ See for eg. Irit Mevorach, *Cross-Border Insolvency of Enterprise Groups: The Choice of Law Challenge*, 9 Brooklyn Journal of Corporate, Financial & Commercial Law 107 at p. 111 (2014).

²⁸ Ibid.

administration and multiplicity of applicable laws could increase the cost of the process and make it difficult to reach a package sale or a restructuring of the business as a whole.²⁹ Furthermore, notwithstanding the pessimistic prediction that a one law linked to one forum approach would be "politically impossible and wholly unworkable,"³⁰ There exists ample empirical evidence to suggest that cross-border insolvency frameworks adopting versions of universalism have thus far managed to produce quite consistent, predictable, and appropriate results.³¹ A universalist approach, on the other hand, promotes judicial economy by minimising the number of proceedings necessary to address a company's bankruptcy while also ensuring equal treatment for all creditors (both local and foreign) by subjecting them all to the same legal regime.³²

EFFICACY OF RECIPROCAL ARRANGEMENTS IN DEALING WITH CROSS BORDER INSOLVENCY

Under the Code, the only provisions that deal with cross border insolvency are Section 234 and 235. The Code grants the power to the Central Government to enter into an agreement with the Government of any country outside India for enforcing the provisions of the Code. In such a case, the Central Government has the power to extend the application of the Code to a country with which reciprocal arrangements have been made, subject to such conditions as may be specified in the official gazette.³³ Further, in the course of insolvency resolution process, or liquidation or bankruptcy proceedings, as the case may be, if the resolution professional, liquidator or bankruptcy trustee, is of the opinion that assets of the corporate debtor or debtor, including a personal guarantor of a corporate debtor, are situated in a country outside India with which such reciprocal arrangements have been made, he may make an application to the Adjudicating Authority that evidence or action relating to such assets is required in connection with such process or proceeding.³⁴ The Adjudicating Authority on receipt of an application and, on being satisfied that evidence or action relating

²⁹ Ibid. See also Lynn M. LoPucki, *Cooperation in International Bankruptcy: A Post-Universalist Approach*, 84 *Cornell Law Review* 696, 716-25; 751-53 (1999); Lynn M. LoPucki, *The Case for Cooperative Territoriality in International Bankruptcy*, 98 *Michigan Law Review* 2216 (2000).

³⁰ Frederick Tung, *Is International Bankruptcy Possible?* 23 *Michigan Journal of International Law* 31 (2001) quoted with approval in Irit Mevorah (Cross Border Insolvency of Enterprise group) *Supra* Note 27.

³¹ See Irit Mevorah, *Jurisdiction in Insolvency: A Study of European Courts' Decisions*, 6 *Journal of Private International Law* 327 (2010) quoted with approval in Irit Mevorah (Cross Border Insolvency of Enterprise group) *Supra* Note 27.

³² P. Hathorn, *Cross-Border Insolvency in the Maritime Context: The United States' Universalism vs. Singapore's Territorialism*, in *Tulane Maritime Law Journal*, n. 38, 2013, pp. 239-241.

³³ Insolvency and Bankruptcy Code, 2016, § 234

³⁴ Insolvency and Bankruptcy Code, 2016, § 235(1).

to assets is required in connection with insolvency resolution process or liquidation or bankruptcy proceeding, may issue a letter of request to a court or an authority of such country competent to deal with such request.³⁵

The provisions for reciprocal arrangements may not be as effective and efficient uniform Code of cooperation such as the UNCITRAL Model Law on Cross-Border Insolvency.³⁶ Several practitioners in the industry have expressed concerns over the fact that entering into bilateral agreements would consume a lot of time. The system of reciprocal arrangements would suffer because of ‘prolonged and difficult negotiations’ since different countries have wide variations in their substantive insolvency law regimes.³⁷ This is worsened by the fact that various bilateral agreements would contain substantial variations vis- a-vis one another which may lead to uncertainties in implementation of these treaties.³⁸ There are only a few treaties are in force resulting in more diverse legislation and practice concerning cross-border insolvencies, causing further uncertainty.³⁹

Furthermore, the Courts have to fall back on principles of the Civil Procedure Code, 1908⁴⁰ to decide whether the foreign judgements would be enforceable or not.⁴¹ The authors strongly believe that owing to the nature and complexity of cross border insolvency proceedings, resolution plans and judgments of foreign courts should not be enforceable in the same manner as a decree and relief should not be granted without evaluating the impact on local creditors. However, while dealing with enforcement of foreign judgments, the court cannot look into the merits of the case.⁴² Thus, the court in such cases would have no power to modify the relief to protect/safeguard the interests of the local creditors.⁴³ Moreover, as quite

³⁵ Insolvency and Bankruptcy Code, 2016, § 235(2).

³⁶ Abhishek Saxena and Akshay Sachthey, *The Insolvency and Bankruptcy Code, 2016 - A Fresh Start for India's Insolvency Regime*, volume 10(2) *Insolvency & Restructuring Int'l* 22 at p. 26 (2016).

³⁷ See for eg. <http://whoswholegal.com/news/features/article/34367/indian-insolvencies-blank-slate-boomtown/>, Accessed on March 4, 2018.

³⁸ Ibid.

³⁹ Fernando Locatelli, *International Trade And Insolvency Law: Is The Uncitral Model Law On Cross-Border Insolvency An Answer For Brazil? (An Economic Analysis Of Its Benefits On International Trade)* 14 *Law & Business Review of Americas* 313 at p. 320 [Spring 2008].

⁴⁰ Civil Procedure Code, 1908, § 13 & 44A.

⁴¹ *Usha Holdings LLC, New York, USA and another v Francorp Advisors Private Limited, New Delhi* (IB)-196(PB)/2017 decided by the National Company Law Tribunal (Principal bench, New Delhi) on 11 December 2017.

⁴² Supra Note 12.

⁴³ See for eg. Discussion on Avoidance transactions and Suspect period.

aptly put by the N.L. Mitra Committee, the definition of the term foreign judgement⁴⁴ is inadequate to include foreign proceedings.⁴⁵

With the adoption of Model Law, these limitations can be overcome, as they empower the court recognising the foreign proceedings to grant relief after taking into account the impact on the local creditors⁴⁶ without inheriting the problem of having to go through protracted negotiation with each individual country. Section 235 is worded in a way to have a similar effect and working like that of Article 25 of the Model law. The Article envisages cooperation and direct communication between the courts of the enacting state and foreign courts and foreign representatives. The intention behind such a provision is to reduce the time-consuming procedures by minimising or eliminating the role of consular and diplomatic channels.⁴⁷ However, with the use of bilateral treaties and reciprocal arrangements with each individual country, any possible benefit from Section 235 is eroded. This is because Section 234 brings back the same problem that Section 235 seeks to avoid.

ABILITY OF THE MODEL LAW IN SUBSTANTIALLY REDUCING ABUSE OF LAW AND FORUM SHOPPING

Under the Model Law, there is a mandatory requirement to recognise a foreign proceeding if the formal criteria established is met.⁴⁸ The foreign proceeding must be recognised as the foreign main proceeding if it takes place in a country where the center of main interests of the debtor lies, or as foreign non main proceeding if the debtor has an establishment⁴⁹ in the country where the proceedings take place.⁵⁰ Based on the nature of the foreign proceedings, the different consequences and relief follow.⁵¹ The phrase ‘center of main interests’ or COMI is not defined under the model law but the ‘establishment’ is. Establishment means any place of operations where the debtor carries out a non-transitory economic activity with human means and goods or services.⁵²

⁴⁴ Civil Procedure Code, 1908, § 2(6).

⁴⁵ Report of the Advisory Group on Bankruptcy Laws, 2001, Chapter IV, ¶ (c)

⁴⁶ See for eg. Article 22, UNCITRAL Model law on Cross Border Insolvency.

⁴⁷ Guide to Enactment of UNCITRAL Model Law on Cross Border Insolvency at ¶ 179.

⁴⁸ Article 17(1), Model Law.

⁴⁹ Article 2(f), Model Law.

⁵⁰ Article 17(2), Model Law; Ian F. Fletcher, *Insolvency in private international Law*, Second Edition, 2005 at p. 463-64 at ¶¶ 8.31-8.32.

⁵¹ Article 20 & 21, Model Law.

⁵² Article 2(f), Model Law.

The centre of main interests is determined by factors, both objective and ascertainable by third parties, especially creditors and potential creditors.⁵³ The commonly applied test to determine COMI is the command and control test.⁵⁴ Under the Model law, in case of the COMI of a company, there is a presumption in favour of place of its registered office which normally corresponds to the head office of the company.⁵⁵ The presumption that the place of the registered office is also the COMI has been included for speed and convenience of proof where there is no serious controversy.⁵⁶ In effect, the registered office (or place of incorporation) is evidence that is probative of, and that may in the absence of other evidence be accepted as a proxy for the ‘center of main interests’. The registered office, however, does not otherwise have special evidentiary value and does not shift the risk of non persuasion, i.e. the burden of proof, away from the foreign representatives seeking recognition as a main proceeding.⁵⁷ The court may also take into account the location of the debtor’s headquarters; the location of those who actually manage the debtor (which, conceivably could be the headquarters of a holding company); the location of the debtor’s primary assets; the location of the majority of the debtor’s creditors or of a majority of the creditors who would be affected by the case; and the jurisdiction whose law would apply to most disputes.⁵⁸

In order to rebut the presumption, one would be required to prove the involvement of agents or servants acting for the company to not be limited to commercial activities, but to be those sort of functions that one would expect the head office to discharge.⁵⁹ The courts have also held that the COMI would be situated where inquiries and negotiations involving third parties were dealt with and upon where demands for payment and invoices from third parties would be addressed.⁶⁰ It is important, therefore, to have regard not only to what the corporate debtor is doing but also to what he would be *perceived* to be doing by an objective observer.⁶¹ This is because the primary purpose of COMI is that it provides certainty and foreseeability for creditors of the company at the time they enter into a transaction. Thus, it would impose a quite unrealistic burden on them if every transaction had to be preceded by a set of inquiries

⁵³ *In re Stanford International Bank*, 2010 Bus LR 1270 [at ¶ 56].

⁵⁴ Ian F. Fletcher, *Insolvency in private international Law*, Second Edition, 2005 at p. 390.

⁵⁵ Article 16(3) Model law; see also Virgos, Miguel, and Schmit, Etienne. (1996) Report on the Convention on Insolvency Proceedings, EU Council Document 6500/96 DRS 8 (CFC) [at ¶ 75] [hereinafter referred to as the ‘virgos Schmidt report’];

⁵⁶ H.R. Rep. No.31, 109th Congress, 1st Session, at para 114.

⁵⁷ *In Re Tri-Continental Exchange Ltd* 349 B.R. 627 (2006) at p. 635.

⁵⁸ *In re SPhinX, Ltd.*, 371 B.R. 10 (S.D.N.Y.2007) [at ¶ 38].

⁵⁹ *Mackellar v Griffin*, [2014] EWHC 2644 (Ch).

⁶⁰ *In Re Northsea Base Investment Ltd*, [2015] EWHC 121 (Ch) [at ¶¶ 19-23].

⁶¹ *Shierson v Vlieland-Boddy* [2005] 1 WLR 3966 [at ¶ 55] as per Chadwick LJ.

before the contract to establish where the underlying reality differed from the apparent facts.⁶²

Establishment like COMI is a fact-sensitive inquiry.⁶³ The definition of ‘establishment’ links the pursuit of an economic activity to the presence of human resources shows that a minimum level of organisation and a degree of stability are required.⁶⁴ the definition in article 2(f) must be read as a whole, not broken down into discrete elements, for each element colors the others. The relevant activities must be (i) ‘economic’, (ii) ‘non-transitory’, (iii) carried on from a ‘place of operations;’, and (iv) Using the debtor’s assets and human agents.⁶⁵

Thus, for recognition of a foreign non-main proceeding, the Respondents cannot merely own property in the jurisdiction of the foreign proceeding; it must also carry out a non-transitory economic activity.⁶⁶ The reference to human means and goods is made to indicate that to be an establishment a place of operations must have a minimum level of organization so to appear materially equipped to do business with third parties.⁶⁷ The use of the present tense implies that the court’s establishment analysis should focus on whether the debtor has an establishment in the foreign country where the bankruptcy is pending at the time the foreign representative files the petition for recognition.⁶⁸ The negative formula (‘non-transitory’) aims to avoid minimum time requirements. The decisive factor is how the activity appears externally, and not the intention of the debtor.⁶⁹ Thus, the definition of the term Establishment allows the court to take a holistic view based on the facts and circumstances of the case rather than have a black or white approach based on where the debtor is incorporated.

The use of concepts stipulated under the Model Law such as COMI and Establishment for grant of recognition of foreign proceedings cannot be said to promote abuse of law. There is strong evidence that the incorporation doctrine is equally susceptible to forum shopping and

⁶² *In re Lennox Holdings plc* [2009] BCC 155, per Lewison J., [at ¶ 62].

⁶³ *Legend International Holdings Inc (as debtor in possession of the assets of Legend International Holdings Inc) v Legend International Holdings Inc* [2016] VSC 308 [at ¶ 60].

⁶⁴ *Interdil, Srl* [2012] Bus LR 1582.

⁶⁵ *Olympic Airlines SA Pension and Life Assurance Scheme Trustees v Olympic Airlines SA* [2015] UKSC 27, [at ¶10].

⁶⁶ Travis Wofford, *The Other Establishment Clause: The Misunderstood Minimum Threshold for Recognition*, Volume 44 Texas International Law Journal 665 (2008-2009) at p.679.

⁶⁷ Virgos-Schmit report at ¶ 71.

⁶⁸ *Legend International Holdings Inc (as debtor in possession of the assets of Legend International Holdings Inc) v Legend International Holdings Inc* [2016] VSC 308.

⁶⁹ Virgos-Schmit Report at ¶ 75.

manipulation, if not more.⁷⁰ For this purpose, there is a need to draw a distinction between abuse of law and fraud.⁷¹ For there to be an abuse of law, the law should be used and applied according to its formal wording but contrary to its purpose and such use or application of the law must be a result of a deliberate action of the user to meet of the formal requirements of a provision.⁷² Such abuse is possible when the basis of applicability is limited to companies that are incorporated or owe the existence of their corporate personality to Indian Company laws. This is because a company is incorporated under a foreign law (for the purpose of taking advantage of a favorable regulatory environment), but whose head office functions and major business operations are centered in India, would be exempted from the application of the Code.⁷³ On the other hand, it is inherent in the concept of COMI that empirically verifiable realities concerning the administration of the debtor's interests are capable of displacing the effects of such formal criteria such as the place of registration, or state of incorporation, for the purposes of determining the application of the insolvency law and also to decide the questions of jurisdiction.⁷⁴ This in a way puts more emphasis on substance over form as the creditor does not get an opportunity to circumvent the law by resorting to evasive or confusing techniques which are employed to conceal his true location.⁷⁵ Thus, in the above example, the presumption of COMI would be rebutted as the debtor-company is merely a letter-box Company.⁷⁶

By making relief contingent on whether the proceeding is a country where the COMI lies or where the establishment is, the Model Law will equip the courts to take account of empirical evidence. Thus, it is put forth that the usage of COMI and Establishment as a criterion would reduce abuse of law and prevent circumvention of the law by fraudulent debtors.

MEASURES INDIA CAN TAKE TO EFFECTIVELY REALISE THE OBJECTIVES OF THE MODEL LAW

In many cases, there is an interval between the commencement of Insolvency proceedings and the debtor becoming aware of the possibility of such proceedings being undertaken.⁷⁷ In

⁷⁰ Maria-Thomais Epeoglou, 'The Recast European Insolvency Regulation: A Missed Opportunity for Restructuring Business in Europe', 6 UCLJLJ 31 at p. 44(2017) relying upon Jay L Westbrook, 'Locating the Eye of the Financial Storm' (2007) 32 Brook Journal of International Law 1019 at p. 1028.

⁷¹ Eidenmüller, Horst. "Abuse of Law in the Context of European Insolvency Law." *Prohibition of Abuse of Law: A New General Principle of EU Law?*. Ed. Rita de la Feria and Stefan Vogenauer. London: Hart Publishing, 2011. at p. 142 Bloomsbury Collections.[hereinafter referred to as 'Horst']

⁷² Ibid.

⁷³ Insolvency and Bankruptcy Code, 2016, § 2.

⁷⁴ Ian F. Fletcher, *Insolvency in Private International Law*, Second Edition, 2005 at p. 366-7 at ¶¶ 7.41-7.42.

⁷⁵ Ibid.

⁷⁶ *In re Eurofood IFSC Ltd* [2006] B.C.C. 397.

⁷⁷ Legislative Guide on Insolvency Law by UNCITRAL, the discussion at p. 140-154.

that interval the debtor may take up transactions that intended to defeat, hinder or delay creditors from collecting their claims; transactions at undervalue; or transactions with certain creditors that could be regarded as preferential which are sought to be avoided under many insolvency laws.⁷⁸ This may be done by including provisions that apply retroactively from a particular date (such as the date of application for, or commencement of, insolvency proceedings) for a specified period of time (often referred to as the “suspect” period) and are designed to overturn those past transactions to which the insolvent debtor was a party or which involved the debtor’s assets where they have certain effects.⁷⁹ Another way through which COMI manipulation can be prevented is by including an express provision that COMI is fastened for a three-month period prior to filing a request to open proceedings.⁸⁰ An example of the use of such avoidance measures being successfully applied can be seen in the aftermath of the collapse of Bernard's Ponzi Scheme in 2008.⁸¹

It must, however, be kept in mind that the criteria for avoiding certain transactions must also have an element of subjectivity, as when certain types of transaction are automatically or easily avoided under the insolvency law based on purely objective criteria, insolvency representatives can avoid each transaction occurring within a suspect period without any individual analysis or calculation of the potential cost or benefit of recovery for creditors generally, which may result in the avoidance of essentially “fair” commercial transactions and impose the burden and expense of challenging avoidance actions on individual creditors acting in a bona fide manner.⁸² The Code could be amended to include a suspect period or any other filter mechanism to prevent fraudulent COMI migrations by debtors seeking to rob their creditors of legal remedies.

The authors suggest that the applicability of the Code and other provisions be amended in such a manner that a company incorporated under the laws of another country be covered under the Code (a) if its centre of main interests lies in India or (b) if it has an establishment in India, where both the terms bear the same meaning as under the Model Law.

⁷⁸ Ibid at ¶ 170.

⁷⁹ Ibid at ¶ 155.

⁸⁰ See for eg. Article 3(3), Council Regulation (EC) 2015/848 of 20 May 2015 on insolvency proceedings (recast) [2015] OJ L41/19. Available at <https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:32015R0848&from=en>. Last accessed on March 10, 2018.

⁸¹ Tristan G. Axelrod, UK Supreme Court Highlights Parochial Roadblocks to Cooperative Cross-Border Insolvency in *Rubin v. Eurofinance SA*, Vol. 31 Wisconsin International Law Journal 818 at p. 820(2014). see further 11 U.S.C. §§ 544, 547-48 (2006).

⁸² Legislative Guide at ¶ 161.

It is also important to note at this stage that laws related to cross-border insolvency in various jurisdictions have prioritized the goal of efficient and effective administration of a cross-border insolvency and thus maximising the net assets to satisfy creditors' claims over the prevention of forum shopping.⁸³ Hence, while introducing any provision in the Code, the focus should be smooth and effective administration of the assets of the debtor, and the risk of forum shopping must not alone deter the legislature from making laws aimed towards recognition of foreign judgements and enabling cooperation and coordination between insolvency proceedings before local courts and foreign courts .

Thus, the Code also needs to be amended to recognise the change in the duties and functions of resolution professional. Sections 23 and 25 of the Code may be amended to include a duty on part of the resolution professional to act as a foreign representative and take steps to ensure recognition of judgments under the Code in foreign courts and to cooperate with liquidators.⁸⁴ In the absence of a proper mechanism for taking objection and positive duty to co-operate with other liquidators, secondary proceedings may be used by local creditors to ring-fence local assets.⁸⁵

NEED TO DISCOURAGE THE PRACTICE OF RING-FENCING: LEARNING FROM THE EXPERIENCE IN SINGAPORE

India may also gather insight from the recent amendments relating to cross-border insolvency law in Singapore. Singapore, on March 30, 2017, passed a bill to adopt the Model law into their insolvency regime, after a long drawn experience with the territorial laws, which required an overhaul owing to the changed geo-economic status of the country.⁸⁶ Another practice that needs to be discouraged is the practice of ring-fencing. Ring Fencing refers to the practice of using assets to satisfy the debt of local creditors before allowing them to be used to discharge the debt towards foreign creditors. The earlier provision relating to ring-fencing has been severely criticised for a number of reasons:⁸⁷

- (a) the provision is out of line with modern developments in insolvency law;
- (b) it is not possible to ring-fence assets which can be moved out of the jurisdiction easily, and

⁸³ Horst Supra Note 71 at p. 147.

⁸⁴ Article 5, Model law.

⁸⁵ Commission, 'Communication from the Commission to the European Parliament, the Council and the European Economic and Social Committee: A New European Approach to Business Failure and Insolvency' COM (2012) 742 final.

⁸⁶ Companies (Amendment) Act (Cap 50, 2017 Rev Ed)[hereinafter referred to as 'Amendment Act, 2017'].

⁸⁷ Sek Keong Chan, Cross-Border Insolvency Issues Affecting Singapore, 23 SAcLJ 413 at p. 417-419 (2011).

(c) it may invite reciprocal treatment by other jurisdictions.⁸⁸

Ring-fencing also inherits a drawback of the territorialist approach⁸⁹ where the distribution of assets, does not depend on who has a better claim, but on which creditor is located in a jurisdiction containing the best assets.⁹⁰ This practice is now abolished in Singapore save in some particular situations.⁹¹ The courts in Singapore held that debtors were no longer bound by the ring-fencing rule.⁹² This ruling was then incorporated in their Companies Act. In addition to the same, the practice of ring-fencing is in contravention to Article 13(1) of the model law.

ROLE OF NCLT AND OTHER COURTS IN THE DEVELOPMENT OF THE LAW RELATING TO CROSS-BORDER INSOLVENCY

There may also be concerns that India may lose long-standing precedents when it adopts the Model Law.⁹³ This should not pose as a legitimate concern as judgments from common law jurisdictions which have adopted the Model Law such as the UK & Australia can be relied upon to interpret the different aspects of the Model Law. Ultimately, it is up to the NCLT and the Higher courts to facilitate smooth cooperation and coordination with foreign courts. Judicial decisions play a very important role in effective implementation of Universalism in a practical setting, as in the case of Singapore.⁹⁴ In many cases in the United States, COMI has been equated with the 'principal place of business'.⁹⁵ Although the two are not synonymous, that would allow the courts to refer to previous judgments and bring about the certainty with regard to the concept of COMI.⁹⁶ In a similar vein, Indian courts can import the concept of control and management of the company being within India like that appearing in Section 6 of the Income Tax Act, 1961.

⁸⁸ Ibid.

⁸⁹ E. H. BIERY, J. L. BOLAND, J. D. CORNWELL, A Look at Transnational Insolvencies and Chapter 15 of the Bankruptcy Abuse Prevention and Consumer Protection Act Of 2005, Boston College Law Review, n. 47, 2005, at pp. 23-26.

⁹⁰ Himaloya Saba and Saquib Rahman, A Comparative Analysis of Cross-Border Insolvency Proceedings between United Kingdom and Singapore, 8 Bocconi Legal Papers 131 at p. 136 (2016), relying on *Cambridge Gas Transportation Corporation v. Official Committee of Unsecured Creditors of Navigator Holdings pl*, [2007] 1 AC 508.

⁹¹ Companies Act, (Singapore), 1967, § 377(3)(c). §45, Amendment Act, 2017.

⁹² *Beluga Chartering GmbH (in liquidation) and others v Beluga Projects (Singapore) Pte Ltd (in liquidation and another* [2014] 2 SLR 815); *Re Opti-medix (in liquidation)* [2016] SGHC 108.

⁹³ Halimi, Rayan, "An Analysis of the Three Major Cross Border Insolvency Regimes" (2017), International Immersion Program Papers, 47, at p. 27. Available at http://chicagounbound.uchicago.edu/international_immersion_program_papers/47 (last accessed on March 10, 2018)

⁹⁴ Ibid.

⁹⁵ See e.g., *In re Tri-Cont'l Exch. Ltd.*, 349 B.R. 627 at p. 629 (Bankr. E.D. Cal. 2006).

⁹⁶ Supra Note 93.

Thus, based on the reasons mentioned above, the authors believe that the legislators can no longer afford to allow cross-border insolvencies in India to continue in a legal vacuum. The adoption of Model Law in spirit seems to be the way forward wherein the lawmakers may make modifications in the substantive law to suit the requirements in India. The current mechanism seems to lack the ability to fulfill the basic objectives of the Code. The adoption of UNCITRAL Model Law would ensure greater certainty of outcome and significantly enhance India's ability to deal with cross-border insolvencies.⁹⁷

The need to address this legal vacuum is further amplified in the light of major financial setbacks as in the case of Nirav Modi held Firestar Diamond Inc, A Jaffe Inc. and Fantasy Inc., the companies having filed for proceedings under Chapter 11 of the US Bankruptcy Code, exploiting the toothlessness of the Indian provisions on cross-border insolvency to protect their assets spread worldwide.⁹⁸

The authors hope that their suggestions are reflected in form of workable provisions by way of either suitable amendments in the various individual sections highlighted in this paper or through the enactment of a separate chapter within the Code dedicated to issues pertaining to cross-border insolvency.

⁹⁷ Second Reading Speech by Senior Minister of State, Ministry of Finance & Ministry of Law, Indranee Rajah SC, on the Companies (Amendment) Bill, (2017), Available at <https://www.mlaw.gov.sg/content/minlaw/en/news/parliamentaryspeeches-and-responses/second-reading-speech-by-senior-minister-of-state--ministry-of-f.html>. Last accessed on March 7, 2018.

⁹⁸ See <https://www.thehindubusinessline.com/money-and-banking/firestar-diamond-filing-for-bankruptcy-highlights-need-for-robust-cross-border-insolvency-law/article23130327.ece>. Last accessed on March 13, 2018.